

Zava Conglomerate Industrials Bhd — Draft IPO Prospectus (Sample)

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Issuer: Zava Conglomerate Industrials Bhd • Issue size: indicative USD 280–320 million • Lead managers: Apex Securities, Asianova Capital • Listing venue: ASEAN Stock Exchange

1. Offering summary

- Primary issuance: ~135 million new shares at indicative range USD 1.95–2.20.
- Secondary offering: ~45 million shares from existing shareholders.
- Greenshoe: 15% over-allotment option.
- Lock-up: 180 days for cornerstone investors; 360 days for promoter shareholders.

2. Business overview

Zava Conglomerate Industrials operates across (i) industrial manufacturing, (ii) palm-oil and downstream specialties, (iii) property development, and (iv) financial services. FY2025 revenue USD 1.84 billion, EBITDA USD 312 million, PATAMI USD 178 million.

3. Use of proceeds

- USD 110 million — capacity expansion at the Centralia downstream complex.
- USD 80 million — repayment of existing bank facilities.
- USD 60 million — strategic acquisitions in adjacent specialty-chemicals segments.
- USD 30 million — working capital and general corporate purposes.

4. Risk factors (top 6)

- Commodity price volatility (crude palm oil, naphtha).
- FX exposure (revenue split USD/regional currencies).
- Regulatory change in environmental and labour standards.
- Cyclicity of property development earnings.
- Customer concentration in the top-10 industrial offtake list.
- Execution risk on the Centralia capacity expansion.

5. Financial summary (FY2023–FY2025)

Revenue CAGR 11.8%; EBITDA margin expanded from 15.2% to 17.0%; net debt to EBITDA reduced from 2.6x to 1.9x; ROIC improved from 9.1% to 11.4%. Full audited financials in Section 9 of the full prospectus.

6. Dividend policy

Post-listing payout ratio target of 35–45% of PATAMI, subject to maintaining net debt to EBITDA below 2.5x and meeting capex commitments.

7. Cornerstone investors (indicative)

5 institutional cornerstones for ~38% of the offering, including 2 sovereign wealth funds, 2 regional pension funds, and 1 strategic industrial partner. Final allocations subject to regulator approval.